FylFox

Business Plan

A supplier document workspace for UK small businesses. Invoices, purchase orders and credit notes in one searchable place — read, matched and checked before anyone presses pay.

CONCEPT STAGE · PRE-PILOT

Includes market and operating plan, pricing architecture, unit economics and a three-year financial projection.
All figures are planning assumptions to be replaced with pilot data. Prepared October 2026.

01

Executive Summary

FylFox is a cloud-based SaaS platform that helps UK small businesses organise, check and visualise supplier-related financial documents. Supplier invoices, purchase orders and credit notes are uploaded into a single searchable workspace, where AI-assisted processing classifies each document and extracts its key fields. Configurable checks then compare the extracted data against related documents and business rules, flagging duplicates, missing information and mismatches for a person to review.

FylFox does not replace the accounting package, provide outsourced bookkeeping, or make final payment decisions. It occupies the checking step between receiving a document and approving it for payment — the step that is currently done by eye, when there is time.

£39–£199	~82%	420	£308k	£180k
MONTHLY PLANS	TARGET GROSS MARGIN	YEAR-3 CUSTOMERS	YEAR-3 REVENUE	FUNDING REQUIRED

The ask

Approximately **£180,000** of seed funding to cover the validation programme, MVP build and the first two years of operation, reaching operating breakeven during Year 3 at roughly 300 paying customers.

> **Evidence status.** Every number in this plan is a planning assumption or a research target, not a verified finding. The validation programme in Section 8 is designed to falsify these assumptions before capital is committed at scale.

02

Problem & Opportunity

Supplier documents arrive through scattered channels — email attachments, supplier portals, printed post — and are stored across shared folders and spreadsheets with no reliable link between related records. Three consequences follow:

- **Hunting for documents.** Finding one invoice means searching several inboxes and folders, every time a supplier queries a payment.
- **Duplicate payments.** The same invoice is chased, re-sent, re-entered — and paid twice before anyone notices.
- **Mismatches found late.** Ordered 100, delivered 90, invoiced 100. Spotted at month-end, if at all.

The competing alternatives each leave the gap open: a shared folder makes documents findable but performs no checks; an accounting package records transactions but is not designed for reviewing the source documents behind them; outsourced bookkeeping removes the work but also the visibility and control.

03

Target Customer & Market

DIMENSION	INITIAL ASSUMPTION
Market	United Kingdom
Business size	Approximately 5–49 employees
Document volume	Approximately 100–500 supplier documents per month
Primary user	Accounts-payable clerk, bookkeeper, finance administrator, office manager
Decision maker	Owner, finance manager, or external accountant
Existing tools	Email, shared folders, spreadsheets, plus an accounting package

The buyer and the daily user are usually different people: the user feels the pain, the owner approves the spend. Messaging and pricing must address both.

Market sizing (illustrative, to validate)

LAYER	BUSINESSES	ANNUAL VALUE	BASIS
TAM — UK businesses with 5–249 employees	~230,000	£262m	At £95 average monthly subscription
SAM — 5–49 employees, document-heavy sectors	~70,000	£80m	Trade, wholesale, manufacturing, hospitality, services
SOM — realistic 3-year reach	**~420**	**£308k**	**0.6% of SAM via direct and accountant channels**

> Business-count layers are order-of-magnitude estimates drawn from published UK SME population data and must be re-derived from a current official source before external use.

04

Product & Initial Scope

The MVP covers **one workflow**: checking supplier invoices against purchase orders and credit notes. English-language documents, GBP amounts, UK date conventions.

IN SCOPE FOR THE FIRST PILOT	DELIBERATELY DEFERRED
• Upload of PDF, JPG and PNG documents • AI-assisted field extraction with a human review step • Catalogue searchable by supplier, type, date, amount, reference • Invoice ↔ PO ↔ credit-note matching with flags for duplicates, gaps and mismatches • Exceptions queue with plain-language explanations and recorded outcomes • Dashboard: documents processed, awaiting review, recent exceptions • Single workspace with role-appropriate access	• Accounting-system integrations • Delivery notes and supplier statements • Customer-specific configurable checks • Multi-entity workspaces • Non-UK document formats and currencies A narrow scope keeps the pilot fast enough to produce a clear answer about the core workflow.

05

Pricing

Priced on documents, not on people. Volume tracks both the value delivered and the main cost driver (AI processing and storage), and avoids a per-seat charge that would discourage the whole finance team from using the tool. Higher tiers add capability, not just headcount.

Starter

£39 /month

150 documents / month

- Upload and catalogue
- Core invoice checks
- Search and filters
- Unlimited team members
- 12-month retention

MOST RELEVANT

Growth

£89 /month

500 documents / month

- Everything in Starter
- Configurable checks
- Accounting integrations
- Exception reporting
- 24-month retention

Business

£199 /month

1,500 documents / month

- Everything in Growth
- Advanced admin controls
- Extended retention and reporting
- Priority support
- Onboarding assistance

COMMERCIAL TERM	PROPOSAL	RATIONALE
Overage	£0.09 per document above the plan allowance	Covers marginal cost with margin; prompts an upgrade rather than a surprise bill
Annual payment	Two months free (≈17% discount)	Improves cash position and reduces churn in the first year
Free trial	14 days, 50 documents, no card	Lets the daily user prove value before the owner is asked to approve spend
Pilot pricing	First five businesses: free during the 4–6 week pilot, then 50% for 12 months	Buys evidence and reference customers; price is locked as a reward for the risk taken
Accountant partners	20% recurring referral commission, or a bundled multi-client workspace	One partner can introduce many clients at low acquisition cost

> **Prices are hypotheses.** They are anchored to observed small-business document-management and AP-automation subscriptions and must be confirmed in customer interviews (Stage 2 of the validation plan) before being published.

06

Unit Economics

The critical question is whether subscription revenue covers per-document processing cost at small scale. Modelled on a representative Growth customer processing 320 documents per month.

LINE	PER DOCUMENT	PER CUSTOMER / MONTH	NOTE
Subscription revenue	£0.278	£89.00	Growth plan, 320 documents used
AI extraction and classification	£0.030	£9.60	Main variable cost; falls with batching and model choice
Storage and bandwidth	£0.006	£1.92	Object storage plus retention
Application hosting and database	£0.012	£3.84	Shared infrastructure, allocated
Support and payment fees	£0.003	£0.96	Card fees plus low-touch support
Gross profit	**£0.227**	**£72.68**	**Gross margin ≈ 82%**

£85	£260	3.6 mo	2.5%	£2,790
BLENDED ARPA / MONTH	TARGET CAC	CAC PAYBACK	MONTHLY CHURN TARGET	LTV (GROSS PROFIT)

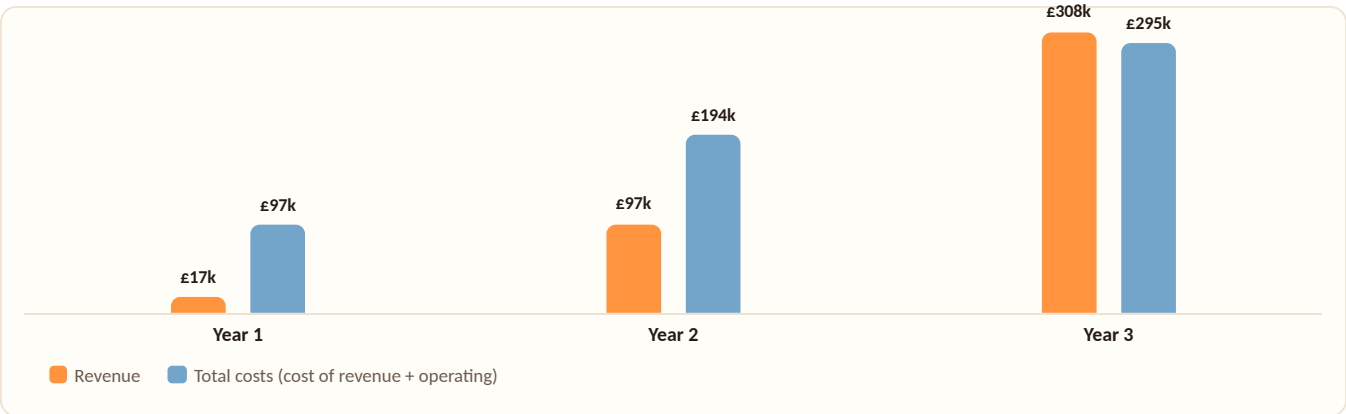
At a 2.5% monthly churn rate the average customer life is 40 months, giving an LTV of roughly £2,790 in gross profit against a £260 acquisition cost — an LTV/CAC ratio of about 10.7. This ratio is comfortable enough to absorb considerable error in the churn and CAC assumptions, which is deliberate at this stage of evidence.

07

Financial Projections

Three years from first paid customer. Customer counts are year-end; revenue is calculated on the average active base through each year, which is why Year 1 revenue looks small relative to its closing customer count.

METRIC	YEAR 1	YEAR 2	YEAR 3
Customers at year end	40	160	420
Average active customers	18	90	270
Blended ARPA per month	£80	£90	£95
Revenue	£17,300	£97,200	£307,800
Cost of revenue	£4,800	£19,400	£55,400
Gross profit	£12,500	£77,800	£252,400
Gross margin	72%	80%	82%
Product and engineering	£58,000	£102,000	£132,000
Sales and marketing	£14,000	£41,000	£72,000
Support and operations	£8,000	£18,000	£22,000
Compliance, legal and admin	£12,000	£14,000	£14,000
Total operating costs	£92,000	£175,000	£240,000
Operating profit / (loss)	**(£79,500)**	**(£97,200)**	**£12,400**
Cumulative position	(£79,500)	(£176,700)	(£164,300)



Funding and runway

Peak cumulative cash requirement is approximately **£177,000** at the end of Year 2. A raise of **£180,000** provides 24 months of runway to the breakeven point, with a thin contingency. Breakeven occurs at roughly **300 average active customers**, or about £24,000 of monthly recurring revenue against the Year 3 cost base.

Sensitivity

SCENARIO	YR-3 CUSTOMERS	YR-3 REVENUE	YR-3 OPERATING RESULT
Downside — slower adoption, 4% monthly churn	210	£154,000	(£116,000)
Base — as modelled above	420	£308,000	£12,400
Upside — accountant channel performs	650	£476,000	£150,000

> The single largest swing factor is the accountant-partner channel: one firm can introduce many clients at near-zero marginal acquisition cost. Testing this channel early is therefore worth more than optimising direct outreach.

08

Go-to-Market & Validation Plan

Validation runs in stages. Each answers one question, and each is capable of stopping the project. The problem and the workflow are tested before the MVP is built.

STAGE	QUESTION	METHOD	EVIDENCE NEEDED TO CONTINUE
1. Customer discovery	Does the problem exist and recur?	Interview 8–12 UK finance/admin staff plus owners and bookkeepers; walk through their most recent invoice task. Do not pitch.	A consistent majority describe the same friction unprompted, with concrete recent examples
2. Workflow and demand	Is this the painful part, and worth paying for?	Map receipt → approval; rank the most painful tasks; react to a realistic subscription price.	Checking ranks among the top pains; interviewees accept a plausible price and agree to trial
3. Prototype testing	Can users complete the workflow?	Clickable prototype with 5–8 target users.	Most complete the tasks unaided and interpret the flags correctly
4. MVP pilot	Does it work on real documents, and do users stay?	4–6 weeks with 3–5 businesses; compare FylFox output against existing manual checks.	Measured against thresholds set before the pilot begins
5. Decision	Expand, refine, or stop?	Review results against those thresholds.	Workflow completed, extraction reliable, alerts useful, credible willingness to pay

Acquisition channels to test

- **Accountant and bookkeeping partnerships** — highest leverage; one partner introduces many clients.
- **Accounting-software marketplaces** — listing and integration give distribution plus credibility.
- **Direct outreach** — slowest and most expensive, but the fastest source of discovery evidence in Year 1.

09

Operations, Risk & Compliance

Main operating costs

Cloud hosting and document storage, AI extraction and processing, product development, customer support, security and compliance.

Riskiest assumptions, in order

#	ASSUMPTION	MITIGATION
1	Extraction and matching are accurate enough on real documents that reviewing the output is faster than doing the work manually	Human-in-the-loop review on every uncertain field; measure corrections per document during the pilot and set a pass threshold in advance
2	Alerts are specific enough to be trusted — a noisy queue will be ignored	Track useful vs. unhelpful alerts as a headline pilot metric; tune rules for precision over recall
3	The problem justifies another subscription and another system to learn	Free trial and pilot pricing lower the commitment; behavioural evidence (continued use) governs the decision, not stated enthusiasm
4	Document-volume pricing covers per-document cost at small scale	Instrument cost per document from day one; overage pricing and plan limits protect the margin

Compliance

Supplier documents contain personal and commercially sensitive data, so UK GDPR obligations apply from the first pilot: a lawful basis and data-processing agreement with each customer, UK or EU data residency, encryption in transit and at rest, access controls, retention limits

aligned to the plan tiers, and a documented sub-processor list covering the AI provider. Customers retain their accounting records; FylFox is a processor, not a system of record.

10

Long-Term Vision

Not a committed release plan; features would be introduced incrementally based on customer feedback.

DIMENSION	DIRECTION
Segment	UK SMEs of roughly 5–249 employees, with multiple finance and administration users and access levels for reviewers and administrators
Document coverage	Invoices, purchase orders, credit notes, delivery notes and supplier statements — classified, extracted and matched
Checking	Configurable checks for duplicates, missing documents and inconsistencies between ordered, delivered, credited and invoiced amounts, with recorded decisions
Reporting	Dashboards covering supplier activity, document volumes, outstanding exceptions and recurring mismatches
Integrations	Selected accounting and supplier-management systems, to reduce duplicate entry
Scale	English-language and GBP-first; expansion beyond the UK only after validated demand

Throughout, AI supports processing and prioritisation while users remain responsible for confirming information and making accounting or payment decisions.